THE SESSION · POST-CLOSE READ

Chips Slide, *Defensives Lead*

The Nasdaq fell 2.60% and the S&P 500 fell 1.22% as semiconductor shares sold off on AI spending concerns, while Brent rose 3.87% to $113.03 a barrel. Dividend Strategy +0.14% trailed DVY and beat SPY; Growth Portfolio −4.29% trailed IUSG.

S&P 500 ▼ 1.22% NASDAQ ▼ 2.60% DOW ▲ 0.02% VIX ▲ 14.09% BRENT ▲ 3.87%

DIVIDEND STRATEGY

TRAILED DVY · BEAT SPY

+0.14% 1-DAY

FCI		+0.14%
DVY		+2.10%
SPY		−1.18%

YTD **+21.10%** vs DVY +18.07% · SPY +12.91%

GROWTH PORTFOLIO

▼ TRAILED IUSG

−4.29% 1-DAY

FCI		−4.29%
IUSG		−2.66%

YTD **+15.15%** vs IUSG +11.78%

THE SESSION

Stocks fell on Thursday as a selloff in semiconductor and AI-related shares pulled the Nasdaq lower, while investors moved toward consumer staples and Treasuries. The Nasdaq fell 2.60% to 26,009 and the S&P 500 fell 1.22% to 7,663, while the Dow was little changed, up 0.02% to 52,868; the VIX rose 14.09% to 19.03. Meta raised the low end of its 2026 capital spending forecast to $135 billion, renewing questions about the pace of AI investment, and Lam Research fell after guiding December-quarter revenue to about $8.6 billion, an outlook management said was limited by near-term supply constraints. The official 10-year Treasury yield fell to 4.96% from 5.13% on Wednesday, its lowest since Sept. 22. Brent rose 3.87% to $113.03 a barrel up from $108.82 on Wednesday, on reports of planned U.S. and Israeli strikes on Iran. IBIT fell 3.72% and ETHA fell 4.52%.

The Dividend Strategy rose 0.14%, behind DVY's 2.10% gain by 1.96 points and ahead of SPY's 1.18% decline by 1.32 points, with fifteen of twenty-five holdings higher and ten lower. Lockheed Martin rose 6.96% and added about 0.30 point after reporting third-quarter earnings of $7.97 per share, a record $292.0 billion backlog and a higher 2026 outlook; Automatic Data Processing rose 4.56% and added about 0.29 point, and Waste Management rose 4.15%, adding about 0.25 point. Lam Research fell 11.76% and subtracted about 0.35 point, Constellation Energy fell 5.74% and subtracted about 0.31 point, and Broadcom fell 4.31%, subtracting about 0.29 point. Quest Diagnostics rose 1.93% after reporting adjusted third-quarter earnings of $3.00 per share and raising its full-year guidance.

When AI leaders and steady cash-generative franchises move several points apart in a single session, the value of owning different kinds of businesses becomes visible; the durable earners did their work today while the AI complex reset.
Think Like an Owner.

The Growth Portfolio fell 4.29%, behind IUSG's 2.66% decline by 1.63 points, with five of twenty-five holdings higher and twenty lower. Vistra fell 9.81% and subtracted about 0.62 point, Credo fell 10.70% and subtracted about 0.42 point, and Freeport-McMoRan fell 6.26%, subtracting about 0.39 point. ServiceNow rose 2.53% and added about 0.23 point, with CNX Resources adding about 0.04 point. On the year, the Dividend Strategy stands at +21.10% against DVY's +18.07%, a +3.03-point spread, with SPY at +12.91%; the Growth Portfolio stands at +15.15% against IUSG's +11.78%, a +3.37-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

LMT +6.96% DIVIDEND
Rose to $589.91 after third-quarter results, a record backlog and a higher 2026 outlook.

ADP +4.56% DIVIDEND
Rose to $307.94 without a company-specific catalyst identified.

CL +4.27% DIVIDEND
Rose to $97.39 as consumer staples led the market.

ATO +4.21% DIVIDEND
Rose to $173.98 without a company-specific catalyst identified.

DECLINERS

LRCX −11.76% DIVIDEND
Fell to $230.15 after a December-quarter outlook that management said was limited by supply constraints.

CRDO −10.70% GROWTH
Fell to $162.77 as AI-linked semiconductor shares sold off.

HUT −10.63% GROWTH
Fell to $63.97 without a company-specific catalyst identified.

VST −9.81% GROWTH
Fell to $140.83 without a company-specific catalyst identified.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY
+21.10%
vs DVY +18.07% / SPY +12.91%
Spread vs DVY **+3.03 pts**

GROWTH PORTFOLIO
+15.15%
vs IUSG +11.78%
Spread vs IUSG **+3.37 pts**

SOURCES

1. Yahoo Finance, "Stock market today: S&P 500, Nasdaq tanks as tech stocks sink amid AI trade worries, Meta shares plummet," Oct. 22, 2026.
2. Benzinga, "Procter & Gamble Stock Has Its Best Day Since 2020," Oct. 22, 2026.
3. Reuters via Investing.com, "Meta to issue new class of shares as it tightens AI spending forecast," Oct. 21, 2026.
4. AOL, "Lam Research Sinks 9% as Supply Constraints Cap Outlook; Applied Materials Drops 6%, ASML Holding Falls 4%," Oct. 22, 2026.
5. U.S. Department of the Treasury, Daily Treasury Par Yield Curve Rates, Sept. 22–Oct. 22, 2026.
6. Vantage Markets, "Brent Crude Tops $111 as Iran Strike Reports Lift Oil Prices," Oct. 22, 2026.
7. Yahoo Finance, "Lockheed Martin Rises 9% as Record Backlog Lifts Outlook; RTX Gains 2%, Northrop Grumman Advances 3%," Oct. 22, 2026.
8. Quest Diagnostics, Third-quarter 2026 results (Form 8-K, Exhibit 99.1), Oct. 22, 2026.
9. Market data: Financial Modeling Prep. Strategy returns: Paradiem FCI portfolio records.